MOOD OF THE NATION

ECONOMY

GROWTH WITHOUT GAIN

India's economy continues to grow at a healthy pace, but public optimism is waning as concerns over jobs, incomes, rising prices and inequality persist

By **M.G. ARUN**



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of respondents say the govt's handling of the economy is 'average', 'poor or very poor'

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In times of global turmoil—whether precipitated by the COVID-19 pandemic, the war in Ukraine, or conflicts in West Asia—the Modi government has been credited with keeping the economy steady, with growth at around 7 per cent, far better than that of some of the world's largest economies. But the questions now getting louder are: why has that growth not translated into better social outcomes—improved living conditions, more jobs and higher wages? And why, despite sustained growth, has the gap between the rich and the poor not only remained wide but actually widened?

The INDIA TODAY Mood of the Nation (MOTN) poll, conducted in August 2026, reflects growing public concern over some of these larger questions. Asked how they assess the National Democratic Alliance (NDA) government's handling of the economy, nearly half of those surveyed (47 per cent) rate it as 'average', 'poor or very poor'. Meanwhile, 47.2 per cent believe it to be 'outstanding or good'—the lowest such rating since the August 2023 MOTN and 1.6 percentage points below the January poll. The numbers clearly suggest that the headline growth story is not translating into a comparable sense of economic confidence.

This sentiment carries through to the next question, on how respondents expect the economy to fare over the next six months. A majority (54.5 per cent) say it will either 'remain the same' or 'worsen'. In fact, 32.5 per cent expect it to get worse, underscoring the lack of public optimism in the economy's ability to generate better jobs and incomes.

THE WEALTH DIVIDE

After the pandemic, the economy recovered from the lows it had plunged to, but the subsequent growth has left more money in the hands of the rich. Economists have called this phenomenon 'K-shaped' growth, in which the rich get richer and the poor, poorer.

According to the World Inequality Report 2026, published by global research centre World Inequality Lab, income inequality in India remains among the highest in the world. The top 10 per cent of earners netted 58 per cent of the country's national income, while the bottom 50 per cent received only 15 per cent, the report says. The view that crony capitalism remains rampant finds resonance in the responses to whether the benefits of India's economic growth are reaching the common man. As many as 43.7 per cent are convinced that it has benefited only